**Use of AI in social policy, potential risks and lessons for mid-income countries**.

Module 7.3. Information management. Individual Assignment.

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**Introduction – Artificial Intelligence and potential risks in social policy.**

Current social challenges require better and more dynamic public policy responses. With this context, new developing AI technologies can offer an attractive alternative (Maistrenko & Zolotov, 2025). Selection of beneficiaries, management of hospital waiting lists, responses to complaints, or processing of medical licenses can be examples of procedures where these tools can be useful.

Nevertheless, these tools might also arouse suspicion within the population. Households seeking for aid may distrust the election process that left them out of public benefits. Those who understand how these technologies work can be made aware of the potential biases that Artificial Intelligence tools may have (such as gender, racial or social biases) (Índice Latam, 2024).

Evidence suggests that these tools used in public policy can have harmful consequences, violating human rights when reinforcing discrimination and failing to adequately protect the privacy of information. Moreover, they can also suffer from lack of transparency and accountability in their implementation (DAI, 2023).

**Lack of transparency and biased models – A controversial Dutch case.**

When it comes to controversial cases of AI use by governments, a recent Dutch case often arises. In 2020, a court ordered the immediate stop to the use of the SyRI technology. This consisted of a Machine Learning tool used to detect welfare fraud as part of the provision process of welfare benefits (The Guardian, 2020). The main critics rely on the fact these algorithms were not previously consulted and did not have adequate oversight. The tool had access to a wide variety of governmental sources of information seeking to identify potential fraudulent behaviour (Digital Freedom Fund).

Given this context, the discussion also became relevant in the UK, where the development of these technologies is increasing. The member of Parliament and Minister for Social Security and Disability stated that this case “demonstrates that parliaments ought to look very closely at the ways in which governments use technology in the social security system, to protect the rights of their citizens” (The Guardian, 2020). The case of course damaged public confidence in the use of this type of tools, especially for social policies (Algorithm Watch, 2020).

**AI technologies in mid income countries – Chilean experience.**

When developing AI technologies in public service delivery, transparency in algorithm usage and government accountability are key elements to maintain the public trust. One of the main critics mentioned in the Dutch case are the fact that these models were not properly supervised, and the lack of transparency and respect for the use of private data.

An interesting country in the South American context is Chile. The country is leading the region in terms of artificial intelligence governance. The current efforts of the government, which presented a bill through the Ministry of Science to “promote the creation, development, innovation, and implementation of human-centred AI systems” while ensures the protection of people's fundamental rights. This project proposes a regulatory framework that aims to identify potentially risky uses of these types of technologies, following international ethical principles (UNESCO, 2024).

A successful case in the country is the use of Machine Learning tools in the process of medical licenses by the social security superintendence (SUSESO for its Spanish acronym), the public body that oversees and regulates the country's social security system. In the year 2014 the SUSESO took about 120 days dealing with claims, six years later the process was taking in average 44 days thanks to the inclusion of these technologies in their work (Algoritmos Públicos).

This project targeted the process at different levels. One of them was to ease the work of their staff, preparing a draft of the verdict they would give (either a rejection or acceptance of the medical license), which was later checked by a staff member. The tool also was useful to generate answers in plain language, addressing one of the constant complaints from users raised by the service when they planned the intervention (Munizaga-Rosas, 2018).

**Conclusions.**

While modern technologies such as AI tools can be very helpful in improving the efficiency in the use of social policy resources, they imply new risks that need to be addressed. When not properly implemented, social policies that heavily rely on artificial intelligence can have bad outcomes and harm the public trust on governments.

Strengthening transparency and also keeping the human control on their functioning can help to improve the quality of services without the bad experiences from cases like SyRI in the Netherlands. Initiatives such as Chile’s show that it is possible to adopt AI in a responsible and people-centered way. A learning that should be considered when implementing new uses of these new technologies, keeping a balance between innovation and protection of fundamental rights.

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